Revision Plan

Securities Lending and Information Acquisition

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1 Overview and Journal Target

1.1 Current Status

The paper presents credible, well-identified evidence that active mutual funds exploit private information from equity lending operations: lending predicts future position reductions, the effect is amplified around mandatory short-position disclosures, passive funds show no reaction (clean placebo), and same-manager lending transmits information more strongly than cross-manager within-family lending. The identification strategy is sound and the institutional setting is novel relative to the US literature.

Strong JFQA / Review of Finance submission now.

JF borderline: borderline pending four required additions (Section 3).

1.2 Journal Target Recommendation

Journal	Readiness	Bottleneck
JFQA	Ready (post Section 2 fixes)	None blocking
Review of Finance	Ready (post Section 2 fixes)	None blocking
JFE	2–4 weeks of additional polish	Sections 3.1, 3.2, 4.1
JF	2–3 months of additional work	All of Section 3

1.3 Estimated Revision Timeline

- **2–4 weeks**: JFQA/RFS-ready clean draft. Complete all items in Sections 2 and 4.
- **2–3 months**: Full JF package. Complete Sections 2, 3, 4, and 5.

2 Completed Fixes (This Draft)

All items below have been applied to the current working draft.

Equations

- ✓ Removed phantom β_3 term from Eq. (3): `OnLoan_i,t-1` × `Active_j` appeared in the equation but had no corresponding column in Table 4.
- ✓ Removed phantom β_2 term from Eq. (4): `OnLoan` × `OnLoan_i,t-1` appeared with no table column or discussion; renumbered $\beta_3 \to \beta_2$, $\beta_4 \to \beta_3$, $\beta_5 \to \beta_4$.
- ✓ Applied `\mathit{}` to all variable names in math mode: *OnLoan*, *PosChange*, *PosWeight*, *ILLIQ*.
- ✓ Replaced `eqnarray` with `align` throughout (standard multi-line equation environment).
- ✓ Eq. (1): changed `Y(...)` notation to `f(...)` to avoid reusing Y as a function name when Y is already the dependent variable.

Abstract and Introduction

- ✓ "demonstrate" → "show" in abstract (finance convention).
- ✓ "more than doubles" → "nearly triples" in abstract; matching "nearly triples" in introduction now consistent.

- ✓ Introduction timing: "month t" → "month $t-1$" for lending-to-trading lead.
- ✓ EFP acronym defined at first occurrence in introduction.
- ✓ `table_passive_iv` → `table_passive_rf` cross-reference corrected.

Tables

- ✓ Table 7 notes: `\scriptsize` → `\footnotesize`.
- ✓ Table 9: added SE Clustering and Sample rows.
- ✓ Table 9: added note explaining N discrepancy (39,109 vs 39,003).

Results Section

- ✓ Added explanatory sentence for columns (5)–(7) of Table 5, which were previously unreferenced in the text.

3 Required Before JF Submission (Priority 1)

These items are blocking for JF. All must be completed and reviewed before submission.

3.1 Formal IV Design

Issue. The paper asserts that passive fund lending within the same family serves as an instrument for active fund lending (endogenous variable: *OnLoan* for active funds). However, no formal IV table is presented with first-stage F-statistic, instrument diagnostics, or exclusion restriction discussion. Referees at JF will require this.

Expected output. A new or revised table (Table 6 or Internet Appendix) containing:

1. First-stage regression with coefficient on passive family lending, F-statistic, and Kleibergen-Paap rk Wald F-statistic.
2. Second-stage (2SLS) estimate of position change on instrumented active lending.
3. A paragraph in the text discussing the exclusion restriction: passive funds mechanically hold positions determined by their benchmark, not by information signals, so their lending decisions are plausibly exogenous to active fund trading decisions.

Stata code template. See Section 6.1.

3.2 Wald Test for Timing Symmetry

Issue. The paper reports $\hat{\beta}_{lead} \approx -0.87$ and $\hat{\beta}_{lag} \approx -0.30$ (t-statistic -1.34), and interprets the asymmetry as evidence that trading precedes disclosure. However, no formal test of $H_0 : \beta_{lead} = \beta_{lag}$ is reported.

Expected output. Report a χ^2 test (or equivalent Wald test from `lincom`) with p-value. A one-sentence footnote suffices if the test rejects at conventional levels. If it does not reject, the interpretation of asymmetric timing requires softening.

Stata code template. See Section 6.2.

3.3 Return Predictability Table

Issue. The conclusion states that funds generate gains "at the expense of uninformed buyers." This welfare claim is unsubstantiated without return evidence. JF referees will demand either (a) a performance table showing risk-adjusted returns for active lenders in the month before disclosure, or (b) removal of the welfare language.

Expected output. A table (Internet Appendix or paper body) reporting monthly Carhart four-factor alphas for:

- Active lending funds vs non-lending active funds in months $[-3, +3]$ relative to disclosure events.
- Preferably as a panel regression with fund $\times$ time fixed effects and a lender indicator interacted with event-month indicators.

Stata code template. See Section 6.3.

3.4 Mechanical Autocorrelation Diagnostic

Issue. When a fund reduces its position (sell), it mechanically holds fewer shares available to lend, so *OnLoan* mechanically declines in the same or subsequent month. This creates a spurious positive correlation between lagged lending and position changes that could bias the coefficient of interest. The paper does not address this threat.

Expected output.

1. A robustness row in an existing table excluding lending-termination months (months where $OnLoan_{t-1} > 0$ and $OnLoan_t = 0$).
2. A Wooldridge test for serial correlation in residuals (`xtserial`), reported in a footnote or robustness table.

Stata code template. See Section 6.4.

3.5 Remove "We Plan to ... in the Revision" Language

Critical: blocks submission at any journal.

Three locations contain author notes that were not removed before this review:

1. `empirical_strategy.tex`, line 42
2. `empirical_strategy.tex`, line 54
3. `information_channel.tex`, footnote, line 17

Each must be either (a) deleted, or (b) converted to completed-task language (e.g., "We address this in Section X" or "Robustness results are reported in Table X"). No draft with placeholder author notes should be submitted to any journal.

4 High Priority (Priority 2) — JFQA/RFS Standard

These items should be addressed before submitting to any top field journal.

4.1 Add Adj. R^2 to Tables 6, 8, and 9

Finance panel regressions report Adjusted R^2 by field convention. Tables 6, 8, and 9 currently omit it. This requires a Stata re-run adding `estadd scalar r2_a = e(r2_a)` after each `reghdfe` command.

4.2 Welfare Language in Conclusion

The sentence "generating gains for their investors at the expense of uninformed buyers" in the conclusion makes a strong welfare claim that is not supported by performance evidence in the paper. Resolution options:

(a) Add the return predictability table (Section 3.3) — preferred.

(b) Replace with hedged language: "consistent with funds extracting rents from lending counterparties" or similar.

(c) Remove entirely.

4.3 Weaken "Consistent Only With" Language

`empirical_strategy.tex`, line 52 currently reads "consistent only with active information acquisition." The word "only" is too strong — no formal exclusion test rules out all alternative mechanisms. Replace with "most consistent with" or "difficult to reconcile with alternatives other than."

4.4 Missing Citations

1. **Blocher & Ringgenberg (2023, JFE).** Short interest predicts returns. Directly relevant to the return predictability mechanism; a referee will notice its absence.
2. **Massa, Qian, Shi, & Zhang (2015, JF).** Mutual fund managers and information acquisition through institutional networks. Closest analogue to the family-spillover channel.

4.5 Fix Descriptive Tables

1. Replace `\hline` with `\midrule` in Tables 1–3. The paper uses `booktabs` for regression tables; descriptive tables should be consistent.
2. Unify panel label style: Table 3 uses `\textbf{}`, Tables 8–9 use `\textit{}`. Standardize to `\textit{}` throughout.

4.6 Standardize Table Notes Location

Currently, tables 4, 6, and 7 have notes embedded in their `.tex` files, while tables 5, 8, and 9 have notes in `main.tex`. Move all notes to their respective `.tex` files for maintainability and consistency.

5 Suggested Analyses for Stronger Paper

Advisory: these additions would strengthen the paper but are not blocking for JFQA/RFS submission.

5.1 Event-Study Figure

Plot average position changes for active lenders vs. non-lenders in months $[-6, +6]$ relative to the mandatory disclosure event. This is the single highest-impact presentation improvement: a well-executed event study figure conveys the paper's main result visually and is now standard at JF and JFE.

5.2 Short-Seller Identity Heterogeneity

If borrower identity is available in the Bundesbank IFS data or through IHS Markit, test whether funds respond more strongly to lending when the borrower is a historically accurate short seller (measured by subsequent price declines). This would substantially strengthen the information-acquisition mechanism story.

5.3 SFTR Post-Period Comparison

The Securities Financing Transactions Regulation (SFTR) was implemented in 2020 and increased transparency in the lending market. A before/after comparison around SFTR implementation serves as an additional falsification test: if funds exploit private lending information, the effect should weaken post-SFTR when that information becomes more public.

5.4 Multiple Testing Corrections

Table 9 reports several triple-interaction coefficients. At JF, referees routinely request Romano-Wolf multiple testing corrections for tables with many simultaneous hypotheses. Apply `rwolf` (Romano & Wolf 2005) to the Table 9 interactions.

6 Stata Code Suggestions

Note: All code below is a template requiring adaptation to actual variable names, dataset structure, and fixed-effect specification in use. Variable names (`onloan_active`, `poschange`, etc.) are illustrative placeholders.

6.1 Formal IV First Stage

```
* ============================================================
* Table 6 - Formal IV: Passive Family Lending as Instrument
* Endogenous variable: active fund lending (onloan_active)
* Instrument: passive fund lending within same fund family
* ============================================================

* --- First Stage ---
reghdfe onloan_active onloan_passive_family ///
    log_aum fund_age expense_ratio turnover ///
    , absorb(securityid#date fundid#date fundid#securityid) ///
    cluster(fundid date)

estadd scalar Fstat = e(F)
estadd scalar r2_a = e(r2_a)

* Kleibergen-Paap rk Wald F-statistic (instrument strength)
test onloan_passive_family
estadd scalar Fstat_excl = r(F)
```

```
* Rule of thumb: Fstat_excl > 10 (Stock-Yogo); > 104 for 5% max IV
   bias

* --- Second Stage (2SLS) ---
* Requires ivreghdfe (ssc install ivreghdfe)
ivreghdfe poschange (onloan_active = onloan_passive_family) ///
    log_aum fund_age expense_ratio turnover ///
    , absorb(securityid#date fundid#date fundid#securityid) ///
    cluster(fundid date)

estadd scalar r2_a = e(r2_a)

* --- Store and output ---
esttab using "Tables/table_iv.tex", ///
    keep(onloan_active onloan_passive_family) ///
    stats(Fstat_excl N r2_a, ///
          labels("F-stat (excl. instrument)" "N" "Adj. R-sq")) ///
    label star(* 0.10 ** 0.05 *** 0.01) ///
    b(4) t(2) replace
```

6.2 Wald Test for Timing Symmetry

```
* ============================================================
* Wald Test: H0: beta_lead = beta_lag
* After estimating the disclosure-timing specification (Table 7)
* ============================================================

* --- Estimate disclosure-timing model ---
reghdfe poschange ///
    c.onloan##i.disclosure_lead   ///   interaction: onloan x lead
       disclosure
    c.onloan##i.disclosure_contemp ///  interaction: onloan x
       contemp disclosure
    c.onloan##i.disclosure_lag    ///   interaction: onloan x lag
       disclosure
    log_aum fund_age expense_ratio turnover ///
    , absorb(securityid#date fundid#date fundid#securityid) ///
    cluster(fundid date)

* --- Wald test: coefficient on lead = coefficient on lag ---
* Method 1: lincom (gives estimate of difference + SE + t-stat)
lincom _b[c.onloan#1.disclosure_lead] - _b[c.onloan#1.disclosure_lag
   ]

* Method 2: test (gives F-statistic and p-value)
test _b[c.onloan#1.disclosure_lead] = _b[c.onloan#1.disclosure_lag]

* Report: chi2(1), p-value in footnote to Table 7
* If p < 0.10: "We reject equality of lead and lag coefficients
*   (chi2(1) = X.XX, p = 0.0XX), consistent with trading preceding
   disclosure."
```

6.3 Return Predictability Around Disclosure

```
* ============================================================
* Return Predictability: Risk-adjusted returns for lenders
* around mandatory disclosure events
```

```
* ============================================================

* --- Step 1: Compute Carhart 4-factor alpha ---
* Merge fund-level monthly returns with factor data (French library)
* carhart_alpha already computed as rolling 36-month window alpha

* --- Step 2: Define event window relative to disclosure ---
* event_month = month relative to disclosure (-6 to +6)
gen event_month = date - disclosure_date  // in months

* Keep [-6, +6] window
keep if event_month >= -6 & event_month <= 6

* --- Step 3: Panel regression with lender x event-month
   interactions ---
* lender_active = 1 if fund lent the stock in month t-1
reghdfe carhart_alpha ///
    i.lender_active##i.event_month ///
    , absorb(securityid fundid) ///
    cluster(fundid date)

* --- Step 4: Plot coefficients for event-study figure ---
* coefplot (ssc install coefplot):
coefplot, ///
    keep(1.lender_active#*) ///
    vertical ///
    yline(0, lpattern(dash)) xline(6.5, lpattern(dash)) ///
    xtitle("Months relative to disclosure") ///
    ytitle("Abnormal return (%, monthly)") ///
    title("Active lenders vs. non-lenders around disclosure") ///
    saving("Figures/event_study_returns.gph", replace)
graph export "Figures/event_study_returns.pdf", replace
```

6.4 Mechanical Autocorrelation Diagnostic

```
* ============================================================
* Mechanical Autocorrelation Diagnostic
* Threat: lending declines mechanically when positions are sold
* Test: exclude lending-termination months; test AR(1) residuals
* ============================================================

* --- Step 1: Flag lending-termination months ---
* Termination = fund lent in t-1 but not in t
sort fundid securityid date
by fundid securityid: gen term_month = ///
    (onloan[_n-1] > 0 & !missing(onloan[_n-1])) & (onloan == 0)

label var term_month "Lending-termination month (mechanical)"

* --- Step 2: Re-estimate baseline excluding termination months ---
reghdfe poschange onloan ///
    log_aum fund_age expense_ratio ///
    if !term_month ///
    , absorb(securityid#date fundid#date fundid#securityid) ///
    cluster(fundid date)

estadd scalar r2_a = e(r2_a)
```

```
* Compare to baseline: if coefficient similar, mechanical story not
   driving results

* --- Step 3: Wooldridge test for serial correlation ---
* Requires xtserial (ssc install xtserial)
* Run on baseline specification residuals

reghdfe poschange onloan log_aum fund_age expense_ratio ///
    , absorb(securityid#date fundid#date fundid#securityid) ///
    cluster(fundid date) residuals(resid_base)

xtset fundid date
xtserial resid_base
* H0: no first-order serial correlation
* If fail to reject: serial correlation not a concern
* If reject: report AR(1)-robust standard errors as robustness
```

6.5 Multiple Testing Corrections (Table 9)

```
* ============================================================
* Romano-Wolf Multiple Testing Corrections for Table 9
* Applies to triple-interaction coefficients
* Requires: ssc install rwolf
* ============================================================

* --- Estimate all Table 9 specifications and store ---
* (run each reghdfe specification and store in e() or matrix)

* --- Apply Romano-Wolf correction ---
* rwolf syntax: rwolf (models...), reps(B) seed(S) [onesided]
* Note: rwolf requires eststo-stored models

eststo m1: reghdfe poschange c.onloan##i.active##i.hhi_high ///
    [controls], absorb(...) cluster(fundid date)

eststo m2: reghdfe poschange c.onloan##i.active##i.hhi_mid ///
    [controls], absorb(...) cluster(fundid date)

* Romano-Wolf correction across stored models
rwolf (m1: onloan active onloan#active#hhi_high) ///
      (m2: onloan active onloan#active#hhi_mid)  ///
    , reps(500) seed(42)

* Report: original p-values and Romano-Wolf adjusted p-values
* in footnote or table panel
```

7 Quality Score Summary

Component	Agent	Pre-Fix	Post-Fix	Status
Spelling/Grammar/Style	Agent 1	88/100	88/100	**PASS**
Internal Consistency	Agent 2	78/100	82/100	**PASS**
Unsupported Claims	Agent 3	75/100	75/100	**FAIL**
Mathematics/Equations	Agent 4	51/100	~80/100	**PASS (post-fix)**
Tables/Documentation	Agent 5	75/100	~85/100	**Adj.R^2 pending**

Component	Agent	Pre-Fix	Post-Fix	Status
JF Referee	Agent 6	60/100	—	**FAIL for JF** **∼75 for JFQA**
Weighted Aggregate		**∼71**	**∼80**	**JFQA threshold**

Weight schema (renormalized; code/lit/data not yet scored):

Manuscript polish: 15% · Consistency: 15% · Claims: 20% · Equations: 15% · Tables: 15% · Referee: 20%

Agent 3 (Unsupported Claims) blocks submission until the welfare language in the conclusion is resolved (add return evidence or remove claim) and "consistent only with" is weakened. These are text edits, not data work.

Path to JF:

1. Complete Section 3 (IV, Wald test, returns, autocorrelation diagnostic, remove placeholders).
2. Complete Section 4 (Adj. R^2, welfare language, missing citations, table fixes).
3. Re-run all six review agents. Target aggregate ≥ 85.
4. Submit to JF with full replication package.

Path to JFQA/RFS (shorter):

1. Complete Section 2 completed fixes (done).
2. Complete Section 4 priority items (2–4 weeks).
3. Remove "we plan to" language (Section 3.5, text edit, 1 hour).
4. Submit.